TEXORA · LECTURE SHEET

Introduction to Management Accounting

Accounting turned toward decisions: the scope and tools of management accounting, its relation to financial and cost accounting, budgets and budgetary control with a flexible-budget computation, and the difference between management accounting and financial management.

AC-4205 · COST AND MANAGEMENT ACCOUNTING · TOPIC 7 · LEVEL 4 TERM 2

1. Meaning and scope

Management accounting is the provision of financial and non-financial information to managers for planning, controlling and deciding. It has no statutory format and no external audience: a report exists if it changes a decision for the better. Its scope covers everything in this course beyond the ledger — budgets, standards and variances, CVP and short-run decisions (Topic 8), ratio and cash-flow analysis (Topic 9), and also non-financial measures (defect rates, on-time delivery, machine efficiency) that lead the financial results. Its orientation is the future: historical records are its raw material, not its product.

ASPECT	FINANCIAL ACCOUNTING	COST ACCOUNTING	MANAGEMENT ACCOUNTING
Question answered	What was the result?	What did it cost?	What should we do?
Audience	Outsiders	Production management	All managers
Time focus	Past	Past and present	Future, using the past
Rules	Statutory standards	Chosen methods	None — fitness for purpose
Data	Money, audited	Money by unit and centre	Money plus quantities, times, quality

2. The tools, and the planning–control cycle

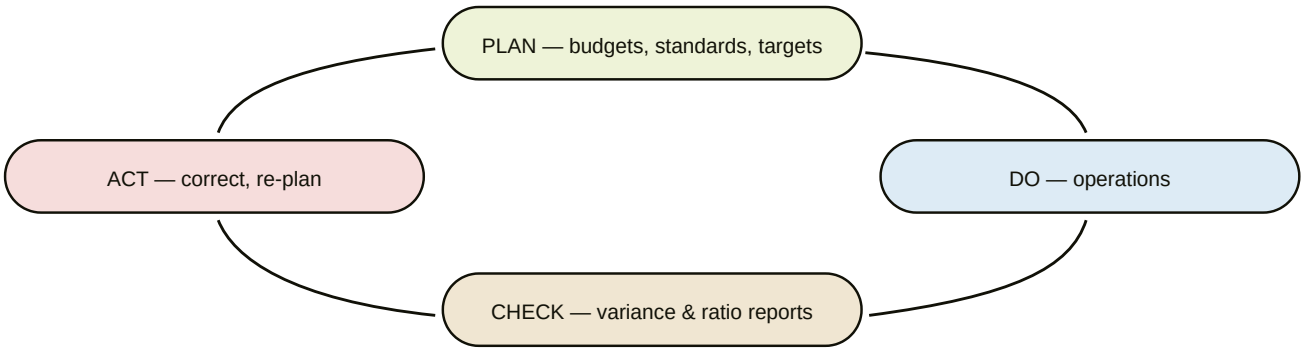


Figure 1 — The management accounting cycle. Plans become budgets and standards; actuals are measured against them; variances trigger action; action revises the next plan. Management accounting supplies the numbers at every arrow.

The principal tools: **budgetary control** (below), **standard costing and variance analysis** (Topics 5, 9), **marginal costing and CVP** (Topics 5, 6, 8), **responsibility accounting** (reporting by controllable centre), **financial analysis** (Topic 9), and **cash-flow forecasting**. A caution belongs in the definition: management accounting information is an aid to judgement, not a substitute — its estimates carry the assumptions of Topics 2 and 6 inside them.

3. Budgets and budgetary control

A **budget** is a quantified plan for a defined period, expressed in money (and supporting quantities), prepared and approved before the period begins. The master budget assembles functional budgets — sales, production, materials, labour, overhead, cash — into budgeted financial statements. **Budgetary control** is the discipline around it: assign responsibility, compare actuals with budget, investigate differences (variances), act, and revise when the plan's assumptions die. Two refinements matter in practice: the **flexible budget**, restated to the actual activity level so that a manager is judged on efficiency, not on volume he did not choose; and **zero-based budgeting**, which rebuilds discretionary budgets from need rather than from last year's figure.

> **WORKED EXAMPLE — FLEXIBLE BUDGET AND A CLEAN VARIANCE**
>
> A department budgeted to make 50,000 pieces at a variable production cost of Tk 50 per piece: budget = Tk 25,00,000.
>
> Actual output was 48,000 pieces and actual cost Tk 25,44,000 (Tk 53 per piece).
>
> Comparing actual with the original budget (25,44,000 vs 25,00,000) shows Tk 44,000 "overspend" — a misleading figure, because output also changed.
>
> **Flexed budget** for the actual output = 48,000 × Tk 50 = **Tk 24,00,000**.
>
> True efficiency variance = 25,44,000 − 24,00,000 = **Tk 1,44,000 adverse** — the real overspend at the volume actually produced.
>
> Lesson: flex first, judge second. The unflexed comparison both understates the problem (1,44,000,

not 44,000) and mixes a volume effect the manager may not control with an efficiency effect he does.

4. Management accounting versus financial management

ASPECT	MANAGEMENT ACCOUNTING	FINANCIAL MANAGEMENT
Core question	How do we plan, control and decide inside the business?	How do we raise and deploy the business's finance?
Typical work	Budgets, variances, product costs, decision analyses	Capital structure, investment appraisal, working capital, dividend policy
Data flow	Supplies the cost and performance data	Uses that data for financing and investment choices
Time span	Days to a budget year	Years to the life of assets

The two are complements: the investment decision to buy a low-liquor dyeing line (financial management: capital appraisal, financing) is fed by management accounting's per-kilogram cost and saving estimates — and afterwards judged by its variances.

Glossary

Management accounting — information provision for internal planning, control and decisions. **Budget** — a quantified, approved plan for a future period. **Master budget** — the consolidated set of functional budgets. **Budgetary control** — comparing actuals with budget and acting on differences. **Flexible budget** — a budget restated to actual activity. **Responsibility accounting** — reporting by controllable cost/revenue centre. **Zero-based budgeting** — rebuilding a budget from justified need each period.

Key points

• Financial accounting asks what happened, cost accounting what it cost, management accounting what to do — future-facing, rule-free, decision-driven.
• Its cycle is plan → do → check → act, carried by budgets, standards, variances and analyses.
• Budgetary control compares like with like: flex the budget to actual volume first (48,000 × Tk 50 = Tk 24,00,000) to expose the true Tk 1,44,000 adverse efficiency variance.
• Financial management raises and invests funds; management accounting supplies the numbers both jobs run on.

Practice

1. A department budgeted 40,000 units at Tk 45 variable cost per unit. It produced 38,000 units at an actual cost of Tk 18,05,000. Flex the budget and find the efficiency variance, stating whether it is favourable or adverse.
2. Give three respects in which a management accounting report may differ from a financial statement without being "wrong".
3. Which tool fits each need: (a) choosing between two fabric suppliers' total cost effects, (b) judging a dyehouse manager's monthly performance, (c) deciding a special export order price, (d) planning next year's cash.

Answer key

1. Flexed budget = 38,000 × 45 = **Tk 17,10,000**. Variance = 18,05,000 − 17,10,000 = **Tk 95,000 adverse** (actual cost per unit Tk 47.50 against the Tk 45 standard of the budget).
2. Any three: it may use estimates and forecasts rather than audited actuals; it may cover any period or segment rather than the legal year and whole entity; it may include non-financial quantities; it may use costing conventions (e.g. marginal costing) not permitted in statutory statements; it is prepared for a named internal decision rather than general external use. None of these is an error — the test is fitness for the decision, accuracy within stated assumptions.
3. (a) Relevant-cost / total-cost analysis from cost accounting records (management accounting). (b) Standard costing / flexible-budget variance reporting under responsibility accounting. (c) Marginal costing and CVP (Topic 8). (d) The cash budget within the master budget (with financial management for funding gaps).

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